Chapter Fifty

Services Policy Reforms

As we saw in an earlier chapter, services have been the largest growing segment of India's GDP for many years now. Services contribute about 55 per cent of total GVA. They also deliver a higher share of GVA to workers when we consider all forms of employee compensation together as part of the total value added. Services are more labour-intensive and thus help in better distribution of income. These primary growth engines see the most equitable distribution of value added among the three groups of stakeholders receiving income from GVA: workers, capital and the government. Services require much less capital and are most efficient in the use of capital. Services are increasingly using digital technologies, where India seems to have a better advantage compared to industrial-era machine technologies.

In the National Accounts, in terms of groups of services, data is available for as many as thirteen different groups: trade and repairs; hotels and restaurants; railways; road transport; water transport; air transport; services incidental to transport; storage; communications and services related to broadcasting; financial services; real-estate, dwellings and professional services; public administration and defence; and other services.

Among these thirteen broad groups of services, the trade and repairs group adds the largest contribution to India's GDP (about 11 per cent). Financial services (about 5–6 per cent), ownership of dwellings (a little over 6 per cent) and the public services account (about 6 per cent) are the next three large services contributing to GDP. Information and computer-related services (4.5 per cent), road transport (about 3 per cent), other professional services (about 3.5 per cent) and education services (3.5 per